

The Final Checklist

All of this research I've been talking about takes a couple of hours, at most, for each stock. The more you know the better, but it isn't imperative that you call the company. Nor do you have to study the annual report with the concentration of a Dead Sea scroll scholar. Some of the "famous numbers" apply only to specific categories of stocks and otherwise can be ignored altogether.

What follows is a summary of the things you'd like to learn about stocks in each of the six categories:

STOCKS IN GENERAL

- The p/e ratio. Is it high or low for this particular company and for similar companies in the same industry.
- The percentage of institutional ownership. The lower the better.
- Whether insiders are buying and whether the company itself is buying back its own shares. Both are positive signs.
- The record of earnings growth to date and whether the earnings are sporadic or consistent. (The only category where earnings may not be important is in the asset play.)
- Whether the company has a strong balance sheet or a weak balance sheet (debt-to-equity ratio) and how it's rated for financial strength.
- The cash position. With \$16 in net cash, I know Ford is unlikely to drop below \$16 a share. That's the floor on the stock.

SLOW GROWERS

- Since you buy these for the dividends (why else would you own them?) you want to check to see if dividends have always been paid, and whether they are routinely raised.
- When possible, find out what percentage of the earnings are being paid out as dividends. If it's a low percentage, then the company has a cushion in hard times. It can earn less money and still retain the dividend. If it's a high percentage, then the dividend is riskier.